WARRANTY ATLAS · Montana (MT)

Law last amended: 2025 (eff. 2025-10-01) · Next scheduled change: none found · Last verified: 2026-09-25 · Built 2026-10-23

Cites: Mont. Code Ann. § 61-4-213(1)-(9), (13) (reimbursement; labor-rate method; definitions); Mont. Code Ann. § 61-4-213(12) (claims, chargebacks, audits); Mont. Code Ann. §§ 61-4-210, 61-4-216, 61-4-217 (penalties; administrative hearings; standing/remedies)

Labor reimbursement by coverage type

Coverage	Status	Paid hours	Pinpoint / date note
Factory warranty	**Required**	Independent/retail time guide	§ 61-4-213(1)(a)(i)
Mfr-backed service contract	**Not addressed**	-	§ 61-4-213(13)(f)
CPO warranty	**Required**	Independent/retail time guide	§ 61-4-213(13)(f)
Independent service contract	**Not addressed**	-	§ 61-4-213(13)(f)

Hourly rate: Prevailing retail labor rate: total labor charges on qualified repairs divided by total hours charged. The sample is all consecutive ROs containing 100 sequential qualified-repair ROs, or 90 consecutive days, whichever gives fewer, no older than 180 days. The rate takes effect 30 days after the franchisor receives notice unless it objects once, with full substantiation, that the rate is 'materially inaccurate'. The franchisor bears the burden, and any resolution is retroacti…

Audit fields

Field	Rule	Pinpoint
Claim decision	30 days; late claim deemed approved: no rule in statute. Written notice of the grounds for disapproval. No denial or reduction where the dealer gave reasonably sufficient documentation of compliance with the manufacturer's known written policies. No denial based solely on a clerical error or administrative technica…	Mont. Code Ann. § 61-4-213(12)(a)-(d)
Payment	30 days after approval. Dealer filing deadline: Silent.	
Chargebacks	12 months; fraud: Silent. A paid claim may be charged back only if it was false or fraudulent, the labor was not properly performed, or the parts or labor were unnecessary. The 12-month audit bar ((12)(e)) states no fraud exception. Conducting or threatening a warranty or other servic…	Mont. Code Ann. § 61-4-213(12)(b), (e); (8)(e)(v)
Rate resubmission	once per 12-month period. Sample: 100 ROs or 90 days (fewer of the two samples); ROs <= 180 days old. Excluded: Routine maintenance, Tires, Alignments, Government, Insurance-paid, Service-contract paid, Discounted / promotional, Internal, Accessories, Collision / body / glass, State inspections, Prep / reconditioning, Other (see text), Goodwill.	Mont. Code Ann. § 61-4-213(1)(a)(iii), (1)(b); formula (2);…
Mfr response	30 days; no response = approved: Yes. Challenge: The only permitted ground is that the declared rate is 'materially inaccurate'. In a proceeding the issue is limited to material inaccuracy, and the franchisor bears the burden of proof. Forum: Court, or a contested-case proceeding before 'the department' (§§ 61-….	Mont. Code Ann. § 61-4-213(6)(a)-(c), (7), (8)(a)
Penalties	§ 61-4-210(3): three times the pecuniary loss plus costs, including reasonable attorney fees. § 61-4-217: actual damages, declaratory or injunctive relief, and costs and attorney fees to the prevailing party; damages up to 3x for willful violations. Dealer associations have standing. § 61-4-216: administrative hearing on § 61-4-213 cla…	Mont. Code Ann. §§ 61-4-210, 61-4-216, 61-4-217
Audit procedures	Audit climate score 33/100 (Elevated restrictiveness; chargeback limits 27/75 + process and oversight 6/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: none; written reasons: no; response period: 60 days; internal appeal: no; held pending appeal: no; extrapolation: silent; clerical-error protection: yes; rate validation: limited to the submission.	

Statute quotes

Claims *(Mont. Code Ann. § 61-4-213(12)(a)-(d)): "All claims for reimbursement must be approved or disapproved within 30 days after receipt of the claim by the motor vehicle franchisor."*

Chargebacks *(Mont. Code Ann. § 61-4-213(12)(b), (e); (8)(e)(v)): "A franchisor may not audit a claim after the expiration of 12 months following the payment of the claim."*

Rate *(Mont. Code Ann. § 61-4-213(1)(a)(iii), (1)(b); formula (2);…): "whichever of the following produces the fewer number of repair orders, all of which must be for repairs made no more than 180 days before the submission"*

Factory time *(§ 61-4-213(1)(a)(i)): "using the franchisor's labor time guide or the labor time guide used by the dealer for labor furnished other than pursuant to warranty, at the dealer's election"*

Notes

The dealer may be paid on the franchisor's labor time guide or 'the labor time guide used by the dealer' for customer-pay work, at the dealer's election ((1)(a)(i)). Subsection (6)(a) cross-references the notice 'referred to in subsection (2)', but the notice duty is in (4), an apparent drafting slip. 'Warranty' means new-vehicle warranty, predelivery preparation, recall or CPO warranty issued or administered by the franchisor ((13)(f)). RV parts are paid at wholesale plus at least 30% handling ((10)). Franchisor cost recovery is barred ((8)(b)). The claims clock carries no deemed-approval language.

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